AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2017

Banking Paper II

Time: 2 hours 25 minutes Marks: 50

AKU May Examination 2017

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are TWELVE questions. Answer ALL questions. Questions 11 & 12 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or in erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

Q.1. (Total 3 Marks)

Pakistan came into existence on August 14, 1947. At the time of its inception there was no central bank.

a. Which bank acted as the central bank in the absence of the State Bank of Pakistan? (1 Mark)

_____

b. Which bank acted as the leading commercial bank of Pakistan immediately after the independence? (1 Mark)

_____

c. In which year the State Bank of Pakistan started its activities as a central bank? (1 Mark)

_____

Q.2. (Total 3 Marks)

Identify the type of banking system depicted in each of the given descriptions.

[**Note:** First example has been done for your assistance.]

S. No.	Description	Forms of Banking System
1.	**BANSA Bank is engaged in banking activities with easy accessibility across the country and it facilitates customers by accepting deposits or providing loans.**	**Branch banking system**
2.	ARC Bank undertakes both commercial and industrial activities at the same time.	
3.	ALMAS Bank operates solely and does not have any branches in Pakistan because of legal restrictions. It operates individually and does not have any connecting bank.	
4.	SANTA Bank provides services on behalf of another financial institution. The bank can facilitate wire transfers, conduct business transactions, accept deposits and gather documents on behalf of another financial institution.	

Annual Examination 2017

Q.3. (Total 3 Marks)

Mr Bashir is a traditional businessman. He believes in keeping the cash with him instead of keeping it with a bank. His son Mr Bakht, after completing his education, has recently joined his family business.

He is trying to convince his father to keep the money in the bank account by explaining different advantages of doing so.

Discuss any THREE benefits of opening a bank account, for Mr Bashir.

Q.4. (Total 3 Marks)

Ms Rida is an owner of a retail outlet in Karachi. She has one current account and one savings account in a commercial bank.

a. Mention any TWO benefits of current account for Ms Rida. (2 Marks)

b. Mention any ONE benefit of a savings account which cannot be gained through a current account. (1 Mark)

AKU-EB May Examination 2017

Q.5. (Total 4 Marks)

Differentiate between a cheque and a demand draft.

Cheque	Demand Draft
1.	
2.	
3.	
4.	

Q.6. (Total 4 Marks)

What do you understand by the term 'Treasury Bill' and why is it used?

AKU-EB May Examination 2017

Q.7. (Total 4 Marks)

The central bank of a country is responsible for controlling credit.

Mention any FOUR objectives a central bank may have for controlling credit.

_____

_____

_____

_____

_____

_____

_____

_____

Q.8. (Total 4 Marks)

Identify and describe the form of collateral securities in each of the following scenarios.

Scenario	Identification of Security	Description
Mr Ammar has established a departmental store by borrowing Rs 10 million from XYZ bank. Due to loss in the business, Mr Ammar has not been able to pay the instalments to the bank. XYZ Bank, in order to recover the loan amount, is allowed by law to seize Ammar's house, car and any other assets necessary to compensate for the outstanding balance.		
Ms Areej purchases an apartment in a newly constructed housing project. For this, she takes a bank loan by submitting her saving certificates as a security or guarantee. She signs an agreement to pay off the bank loan in 5 years time through monthly instalments.		

May Examination 2017

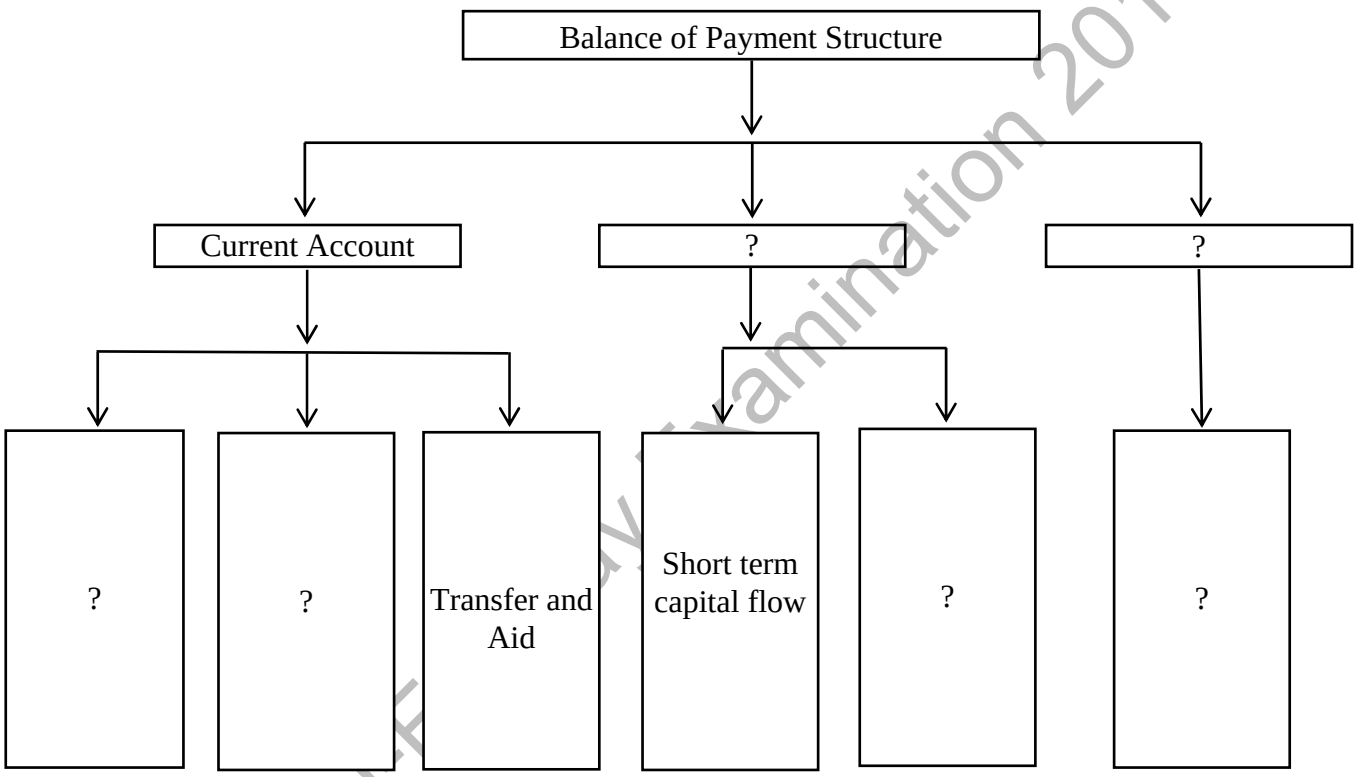
Q.9. (Total 5 Marks)

a. Define foreign exchange reserve. (1 Mark)

_____

_____

b. Complete the given structure of balance of payment (BoP) by mentioning the various missing components of BoP. (Mention any FOUR) (4 Marks)



AKU Examination 2017

Q.10. (Total 5 Marks)

Adam Insurance Limited is a renowned insurance company with more than 15,000 customers. The company does not accept cheques from the customers for the payment of premium.

a. Discuss any THREE reasons for not accepting cheques from customers. (3 Marks)

b. Mention any TWO other modes of payment in the given case. (2 Marks)

AKU-EB May Examination 2017

Q.11. (Total 6 Marks)

EITHER

a. Finance is the life-blood of production and commercial banks are the departmental stores of finance. Therefore, commercial banks enjoy dominant position in the current economic world.

Justify the given statement with reference to the role of commercial banking in Pakistan. (6 Marks)

OR

b. Central banks enjoy the privilege to issue currency notes. Different central banks follow different methods for issuing currency notes as per their economic situation.

i. Describe any THREE methods of issuing currency notes. (3 Marks)

ii. Mention ONE advantage of each method. (3 Marks)

AKU-EB May Examination 2017

Q.12. (Total 6 Marks)

EITHER

a. Mr Arif issued a promissory note to Ms Ramsha for Rs 15,000. On maturity, the payment was refused and the amount was not received.

Before filing a law suit, Mr Arif needs some authenticated proof of the fact that the promissory note has been dishonoured.

i. Describe the steps that Mr Arif needs to follow in the given case of dishonour. (2 Marks)

ii. List any FOUR contents of protesting of promissory note. (4 Marks)

OR

b.

Rs 100,000

121, Saddar,
Karachi
March 31, 2017

Three months after date, I, Mr Shahid, promise to pay Ms Sana or order a sum of rupees one hundred thousand only for value received.

To
Sana
333, Mall road
Karachi

Stamp and Sign
Mr Shahid

Ms Sana has to pay Rs 100,000 to Ms Misha, so she wants to transfer the above instrument to Ms Misha.

i. Explain THREE different ways in which the above document can be transferred to Ms Misha. (3 Marks)

ii. Mention ONE example of each way of transfer. (3 Marks)

AKU-EB May 2017

AKU-EB May Examination 2017

END OF PAPER

Please use this page for rough work

AKU-EB May Examination 2017

Please use this page for rough work

AKU-EB May Examination 2017